Tittle: The Impact of the Presence of a Labour Board and Union on the Mathadi Workers in the Mumbai Agricultural Produce Market Committee (APMC), APMC

Research Question: What Effect Have the Labour Board and Union Had on the Wages and Wellbeing of Mathadi Workers in the Mumbai Agricultural Produce Market Committee (APMC), APMC

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Introduction

The Mumbai Agricultural Produce Market Committee (APMC) is a marketplace in the district of Thane, Mumbai (***Figure 1),*** where farmers from nearby villages and towns sell their fruits, vegetables, pulses, and spices (*Kadrolkar, 2012*). Farmers send their produce to the Mumbai APMC in trucks. Daily-wage logistics workers, known as Mathadis (***Figure 2)***, facilitate these transactions by unloading the crop-filled jute bags in godowns (*Jatav & Jajoria, 2020*). From there, wholesalers sell the produce to traders, who supply it to end-consumers.



Figure 1: An Aerial View of the Mumbai APMC Yard, Thane (Bhosale, 2020)

The labour market for Mathadi workers in the Mumbai APMC is a subject of significant interest and has undergone several transformations in recent years. In the following pages, we will study the evolution of this labour market, beginning with an initial monopsony, transitioning to the establishment of a closed-shop labour union (leading to a bilateral monopoly), and, eventually, the formation of a monopolistic market. By analysing these changes, this essay will assess the impact of the creation of a labour board on the wages and wellbeing of the Mathadi workers.



Figure 2: A Mathadi Worker Carries Jute Bags to a Warehouse (PiPa, 2020)

I chose to pursue my extended essay in economics because I am fascinated by how it combines theoretical models with empirical evidence to decipher complex real-world phenomena. As a child, I spent countless weekends visiting my grandfather's office in the Mumbai APMC. Over time, I became fascinated with the complex dynamics of produce transport. The dire conditions of the Mathadi workers, the backbone of trade in APMC, have always been a concern for me. I wanted to identify the levers that we can pull to drive improvements in their well-being. Therefore, in this essay, I will investigate, "**What Effect have the Labour Board and Union had on the Wages and Wellbeing of the Mathadi Workers in the Mumbai Agricultural Produce Market Committee?"**

Methodology

In assessing to what extent, the presence of a labour board and union has increased the incomes and living standards of Mathadi workers, I combined economic models with real-world data, which I obtained through secondary and primary research.

First, I utilized secondary sources to develop an understanding of the Mathadi labour market. I used news articles, journal papers, and documents I obtained through the internet, trade associations, and the labour board. These sources provided me with information on the historical and current state of the labour market, giving me a baseline for my investigation.

However, upon further reflection, I recognized the limitations of this approach. The secondary sources were not specific to my research question, which limited their applicability. Additionally, the data obtained from various sources displayed biases due to the contentious nature of the topic. For example, official labour board documents only highlighted the improvements in the working conditions and wages while disregarding any potential reductions in employment opportunities. As a result, I decided to engage with key stakeholders to gather more accurate and relevant information.

To gather more specific data, I will conduct primary research. I will survey a sample of Mathadi workers from the Mumbai APMC to collate data on changes in their incomes, living standards, and experiences with the labour board (*Appendix A)*. This survey data will provide me with valuable insights into the impact of the labour board on the Mathadi workers. In addition, I will conduct interviews with Mr. Shashikant Shinde, the

chief secretary of the labour board (*Appendix B)* and Mr. Shah, Mr. Mehta, and Mr. Agarwal, agricultural traders who employ the Mathadi workers *(Appendix C)* to get a deeper understanding of the board's inner workings and role in the labour market.

An ideal method for assessing the effectiveness of a labour board and union would involve gathering direct data on wages over time from workers themselves, which would provide a comprehensive analysis of income levels and the board's impact on worker compensation. However, due to the sensitive nature of wage data and potential reluctance of workers to disclose this information, this approach is unfeasible. Therefore, this study used a triangulation-based methodology, incorporating secondary sources, survey responses, and interview responses to infer changes in income levels. This approach has limitations, such as potential dishonesty in responses to sensitive questions, but it still provides a general indication of wage trends.

After collecting data from all of the above sources, I will use theories from microeconomics and labour economics, such as monopsony, bilateral monopoly, and monopoly, to explain the data and draw conclusions. I will use statistical analysis to quantify the changes in income levels and use qualitative insights to understand the reasons behind these changes. This approach will enable me to effectively analyze how the presence of the board and union and their subsequent rise in power impacted the Mathadi workers.

Economic Theories and their Applications to the Mathadi Case Study

In addition to fundamental economic ideas, such as theory of the firm, esoteric concepts, such as "monopsony" and "bilateral monopoly" will be used and consequently need to be explained. Therefore, below, I will discuss these economic models and their relevance to the Mathadi case study. To ascertain the impact of the labour board on the Mathadi workers, we will study its progression, which can be divided into three stages.

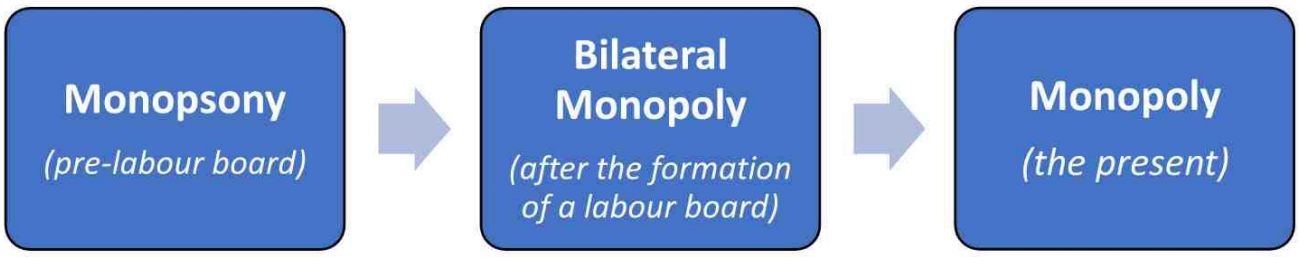


Figure 3: The Stages of the Mathadi Labour Market in the Mumbai APMC

Monopsony

A monopsony refers to a market structure wherein there is only a sole or dominant buyer of a particular good or service. It is the opposite of a monopoly, and, in the context of labour markets, it suggests that there is only one employer that holds significant power in determining wages. The monopsony model assumes that there is only one buyer (employer) and that the buyer does not engage in wage discrimination, meaning that all workers are paid the same wage.

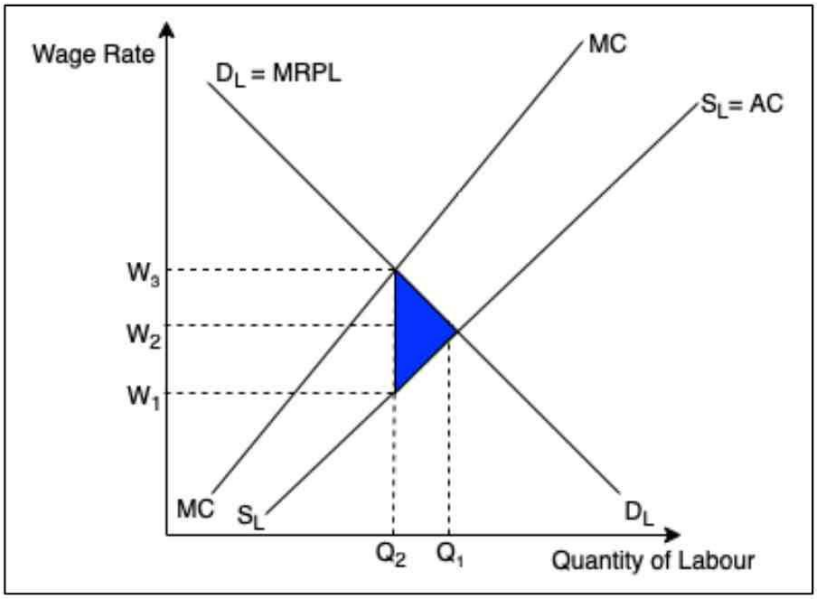


Figure 4: Monopsony Labour Market

In a monopsonistic labour market, there is no competition for workers, giving the employer the power to set wages. As a result, the employer pays a wage rate (W_2) below the MPRL, as shown in ***Figure 2.*** The monopsony's marginal cost of labour (MC) curve differs from its average cost of labour curve (S_L). This is because the monopsony employer will have to increase wages for all workers to attract one additional worker. The profit-maximising quantity for the monopsony is where MC = MRPL, resulting in a lower equilibrium /quantity of workers employed (Q_2) and a lower wage rate (W_2). This leads to a deadweight loss (shaded area), as worker welfare is reduced. This is because a smaller number of workers are employed at a lower wage rate, which is lesser than the value they are contributing to the market.

Stage 1: A Monopsony in the Mathadi Labour Market

Initially, the transport of produce from trucks to godowns at the Mumbai APMC was outsourced to a small number of contractors (*Khotkar, 2013*). These logistics companies then employed the daily-wage Mathadi workers. Hence, this labour market was highly concentrated, with few dominant employers. They jointly

agreed to set wage rates and the number of workers employed (*Appendix B, Q1)*. Therefore, they represented a collusive oligopsony, which has an effect similar to that of a monopsonist employer. As a result of this uneven balance of power, unfair labour practices were rampant (*Appendix B, Q1)*. For example, they were denied adequate wages, humiliated on the job, and provided with any social security benefits (*Khotkar, 2013*).

Frustrated with these injustices, under the leadership of Annasaheb Patil, the Mathadi workers decided to collectivize (*Marshall, 2014*). Their struggles culminated in the government passing the Maharashtra Mathadi, Hamal, and Other Manual Workers (Regulation of Employment and Welfare) act. This policy, along with its amendments, created 34 Mathadi boards, one of which is active in the Mumbai APMC. These boards are comprised of representatives of workers, employers, and policymakers that are appointed by the state government. They act as connecting links between employers and the Mathadi workers and strive to regulate the Mathadi labour market (*Marshall, 2014*).

Employers are expected to recruit workers solely through the board, which is tied to the Maharashtra Rajya Mathadi Transport & General Kamgar Union (*Khotkar, 2013*). In the Mumbai APMC, nearly every worker is a union member, making it equivalent to a closed shop union (*Appendix B, Q2).* Consequently, the presence of a labour board has empowered the union, making it a monopoly supplier of Mathadi labour.

Bilateral Monopoly

A bilateral monopoly refers to a market structure where a monopsony buyer faces a monopoly supplier. There exists only one consumer and only one producer in the market for a particular commodity. This model has been extensively used to investigate the impact of the formation of labour unions that act as monopolistic suppliers on monopsony labour markets. Both these influential market participants would have contradictory objectives – while the monopoly would strive to maximize wages, the monopsony would attempt to minimize them.

In a bilateral monopoly, the bargaining process between the monopolist and the monopsonist determines the equilibrium quantity and wage rate. The monopsonist, in this case, is the employer. The monopsonist's demand curve (D_L) is represented by the marginal revenue product of labour (MRPL), which is the value that the employer derives from hiring each additional worker. The monopolist, in this case, is the trade union that

represents the workers. The demand curve faced by the union is the average revenue curve (AR_U), which highlights the wages that the workers accept.

The monopolist's marginal revenue (MR_U) curve will be below its average revenue curve (AR_U), as the union would need to lower wages for all workers to increase the number of workers employed. The supply curve faced by the monopsonist is the average cost (or expenditure) curve and marginal cost curve (S_L). The monopsonist's marginal expense (ME) curve will be above its average cost curve (AC), as the employer would need to increase wages for all workers to hire an additional worker.

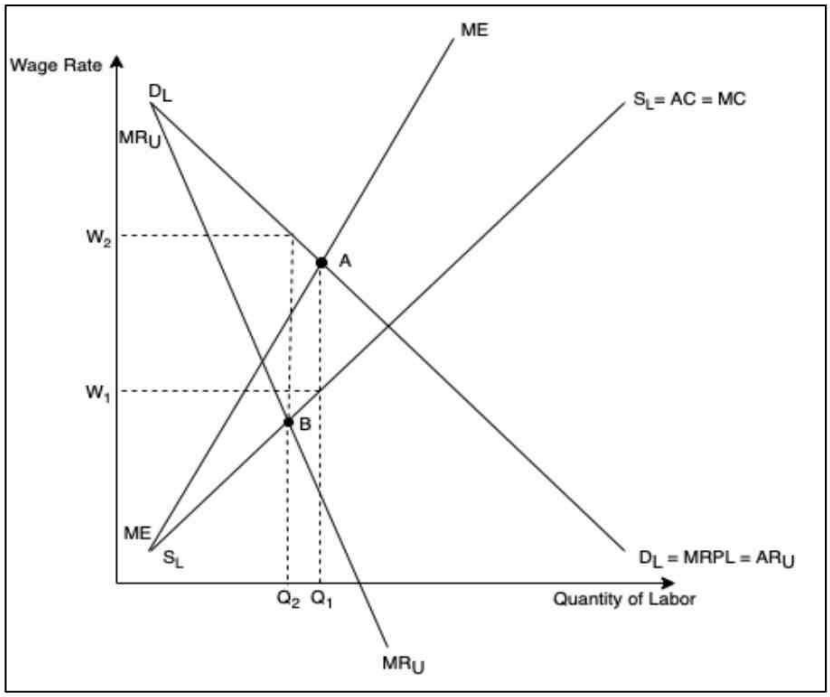


Figure 3: Bilateral Monopoly Labour Market

Based on the cost-revenue structure explained above, we can infer the equilibrium quantities and wages. For both participants, the monopsonist and the monopolist, their profit (or, in the union's case, total wages) would be maximised when the marginal cost or expense is equivalent to the marginal revenue.

The monopsonist maximizes its profitability at point A, where its marginal expense curve (ME) intersects its marginal revenue per labour curve (MRPL). Hence, its ideal equilibrium would be where it hires Q_1 workers at the wage rate W_1. Conversely, the monopoly maximises total wages at point B, where its marginal cost curve (MC) intersects its marginal revenue curve (MR_U). Thus, it desires to supply Q_2 workers at the wage rate W_2.

As the diagram suggests, the bilateral monopoly model does not give us a specific equilibrium point. The equilibrium point A only occurs is the monopoly behaves as a perfectly competitive seller. The equilibrium point B only occurs is the monopsony behaves as a perfectly competitive buyer. However, as rational actors, none of them will do so, as it is not in their best interests. Therefore, we get a range of equilibrium points. The equilibrium wage rate (denoted by W_e) will be $W_1 < W_e < W_2$ and the equilibrium quantity (denoted by Q_e) will be $Q_2 < Q_e < Q_1$. The exact wage rate and quantity will be determined by the bargaining process, which is influenced by factors such as government policy, political pressures, and negotiation skills. However, it is likely to be higher than that in a pure monopsony, as in a bilateral monopoly the workers have significant bargaining power.

Stage 2: A Bilateral Monopoly in the Mathadi Labour Market

In the case of Mathadi workers, the labour board and union act as a monopoly supplier *(Appendix C, Q1)* and representatives for the workers in negotiations *(Appendix B, Q2)* with employers regarding wage rates. At the time, the contractors acted as monopsony buyers and hired the unionized workers (*Appendix B, Q1)*. This relationship creates a bilateral monopoly market structure.

Welfare Effect of the Formation of a Bilateral Monopoly

The transition from a monopsony to a bilateral monopoly transformed the labour market. It gave the workers immense bargaining power, which they used to fuel improvements in their wages and well-being (*Jatav and Jajoria, 2020*). They engendered several major changes, such as:

- The average wages earned increased from Rs. 150-200 per month to Rs. 2000-10000 per month *(Datta, 1998)*
- Instead of variable wages, they instated a minimum piece rate (per tonne or per piece) linked to the Consumer Price Index (CPI) *(Datta, 1998)*
- They introduced the concept of overtime and double rate pay after 9:30 pm *(Datta, 1998)*
- If an employer does not pay on time, the board compensates workers, ensuring the financial stability of the Mathadis. The board then charges the defaulting employer 18% interest. *(Khotkar, 2013)*
- The employers were made to contribute to provide comprehensive social security, including a provident fund, gratuity bonus, health coverage, life insurance, and paid leaves, for the workers. *(Jatav, 2020)*

The board has caused the "de-casualization" of the Mathadi labour market (*Appendix B, Q5),* which, according to the literature reviewed above, has improved the wages and wellbeing of the workers. The presence of the board (and union) has further enhanced the welfare of the workers, as they provide them with services *(Appendix B, Q5)* including:

Consumer Stores: these stores provide low-cost goods, such as groceries, to the workers on credit, ensuring that the Mathadis are not victim to local loan sharks. *(Khotkar, 2013)*

Healthcare Services: The Mathadi Hospital Trust runs 2 hospitals and 12 dispensaries, which provide the workers with routine and emergency medical services. These treatments are either completely free or low-cost. *(Marshall, 2014)*

Housing: through the Mathadi board and union's housing program, 30,000 to 40,000 workers are expected to be provided with residences. The board also helps the Mathadis obtain loans to purchase their own homes through its provident fund or credit provider. *(Free Press Journal, 2022)*

Financial Inclusion: the union affiliated Hindustan Bank and credit society provide the Mathadi workers, a historically financially excluded group, with loans and financial services. *(Khotkar, 2013)*

Survey Results

The evidence analyzed above is consistent with the survey results *(Appendix A)*, which indicate that the presence of the labour board and union have drastically improved the livelihood of the workers. The survey was carried out at the Mumbai Agricultural Market Produce Committee (APMC) on the 20th of December 2022.

While it would have been ideal to use a random sample from the board's list of workers, this was implausible, given that only certain workers were available to be surveyed. Therefore, an opportunity sample of the 38 labourers who were able to take part in the study was used. While this may lead to a sampling bias, it was the only feasible techniques. Nevertheless, it is likely to give us reasonable estimates of the impact of the board and union on the Mathadi workers. Below, the data have been plotted as pie charts.

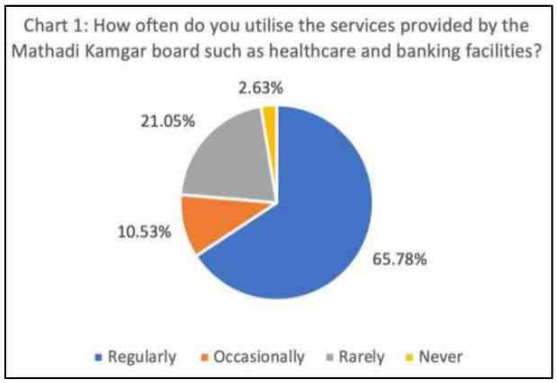


Chart 1: *It appears that a majority of Mathadi workers use the services provided by the board, suggesting that they improve their living standards.*

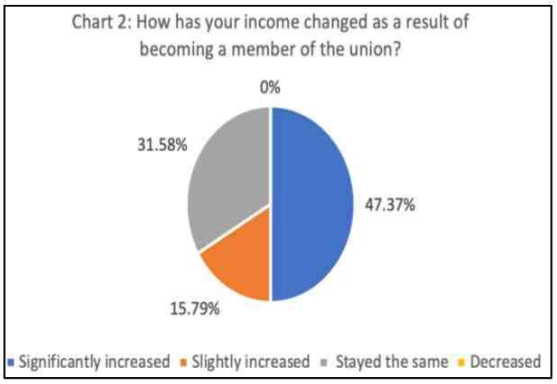


Chart 2: *A significant proportion of workers believe that their income has increased due to the union, implying that collective bargaining has been effective.*

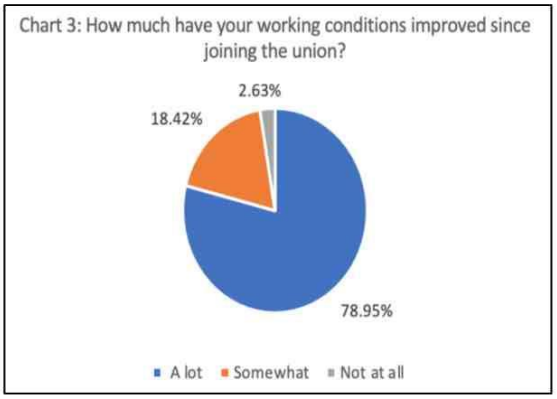


Chart 3: *Most workers said that their working conditions have improved, which is likely to be a result of the regulations and standards imposed by the board.*

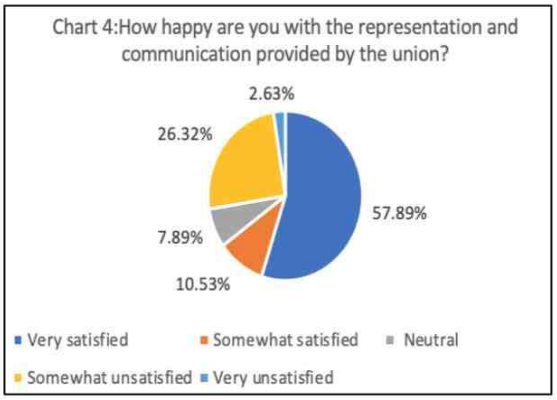


Chart 4: *while most Mathadis surveyed were happy with the representation and communication of the union, a significant proportion were not "very satisfied," suggesting that there may be a principal-agent problem (due to the divergent interests of Mathadi workers and union/board leaders).*

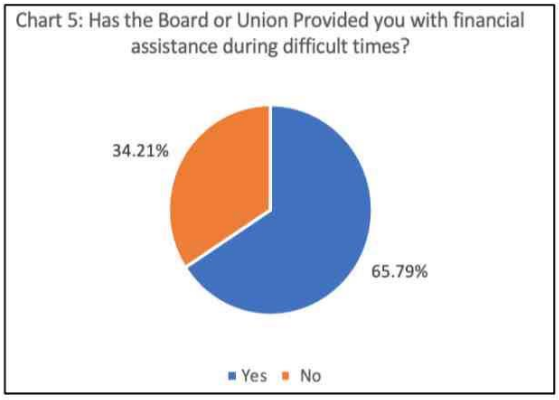


Chart 5: *This indicates that the union's financial inclusion initiatives, through the Hindustan Bank and credit cooperative society, have potentially saved the Mathadi workers from loan sharks*

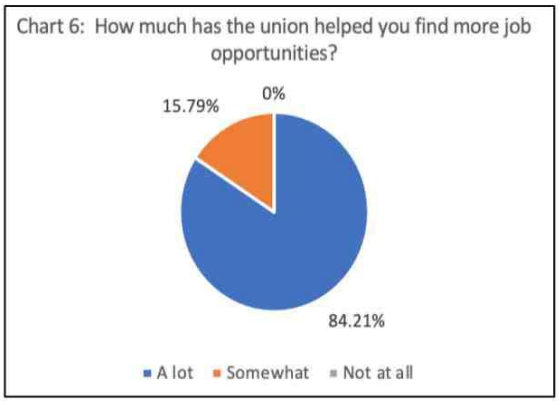


Chart 6: *The board, which is tied to the union, is responsible for connecting employers and employees. This chart suggests that it is meeting its objective effectively, improving the wellbeing and earnings of the Mathadis*

In summary, the survey data suggests that the labour board and union have improved the wages and hence income levels (*Chart 2*) and wellbeing (*Charts 1, 3, & 5)* of the workers. This outcome is a result of the change in market power dynamics, which gave the workers representation (*Chart 4)*, thereby forcing employers to consider their interests.

In recent times, however, the labour market has metamorphized into a monopoly, altering the equilibrium and hence impact of the labour board and board.

Monopoly

A monopoly is a market structure characterized by a single dominant supplier of a good or service. In labour markets, closed-shop unions or boards that negotiate with employers may be monopoly suppliers. As employers have no other source of labour, the union holds significant power in determining wage rates.

The marginal revenue (MR) curve differs from its average revenue (AR) curve, as the union must reduce wages for all workers to ensure the employment of an additional worker. The monopolist's marginal revenue curve (MR) differs from its average revenue (D=AR) curve,

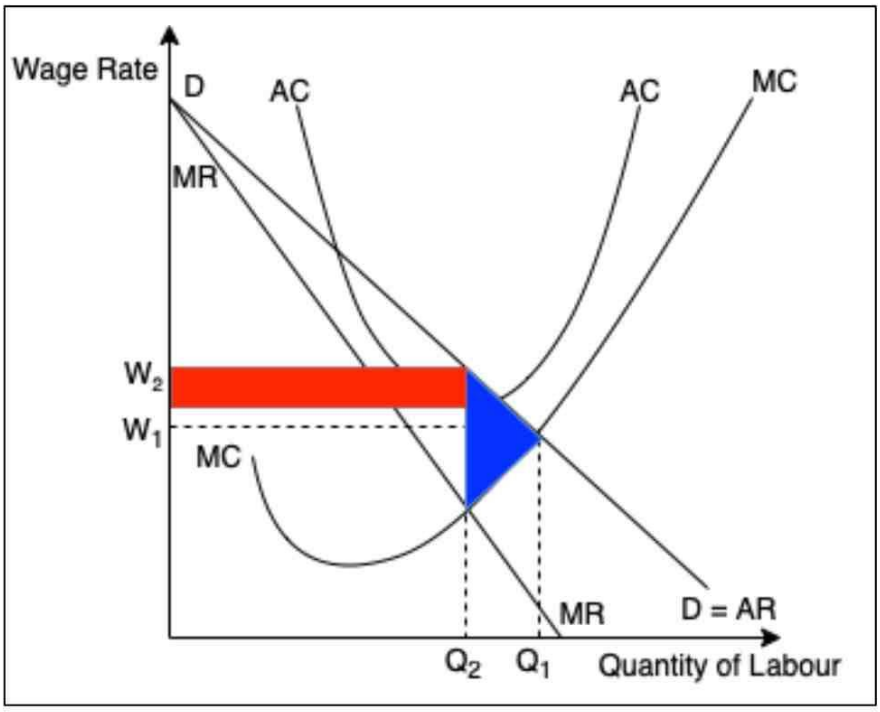


Figure 4: Monopoly Labour Market

as the union would have to lower the wages of all workers to ensure the employment of one additional labour. The profit-maximizing (in this case, total wages earned maximizing) quantity for the monopoly occurs in Q2, where MR=MC, with a wage rate of W1.

As ***Figure 4*** shows, this equilibrium results in a welfare loss (blue shaded area), as the increase in worker surplus, does not offset the decrease in employer surplus. As the sole supplier of Mathadi workers, the union has the market power to earn supernormal profits (i.e., total wages earned exceed the total cost incurred by the workers), as AR>AC in Q2 (red shaded area). A monopoly results in a small number of workers employed (Q2) at a higher wage rate (W2).

Stage 3: The Formation of A Monopoly in the Mathadi Labour Market

Initially, employers enjoyed pre-eminence over the market, but the entrance of new competitors weakened their power *(Appendix C, Q4)*. Simultaneously, the union has gained major political capital, as it has begun serving as a vote bank (*Hindustan Times, 2022).* Through aggressive strikes *(The Hindu, 2021)*, the union contributed to the decline in the power of employers. Eventually, this change in power dynamics created a market wherein the closed shop union is the sole labour supplier, but there are multiple, weaker competing buyers. Therefore, a monopoly was established *(Marshall, 2015).*

The existence of a labour board and union and resulting monopoly market structure has resulted in higher wages and wellbeing for workers. Since the workers, due to the collective union and board, can overpower any employer, they have benefited from the change in market structure. Consistent with economic theory, the workers believe that they are better-off because of the labour board. This proposition is evident through the survey responses, which indicate that, according to the workers, the board and union are essential in ensuring that their living standards are maintained.

Survey on the Impact of the Labour Board and Union

The survey included questions on counterfactuals to ascertain the impact of the labour board and union. Below, pie charts have been used to depict the responses of the workers.

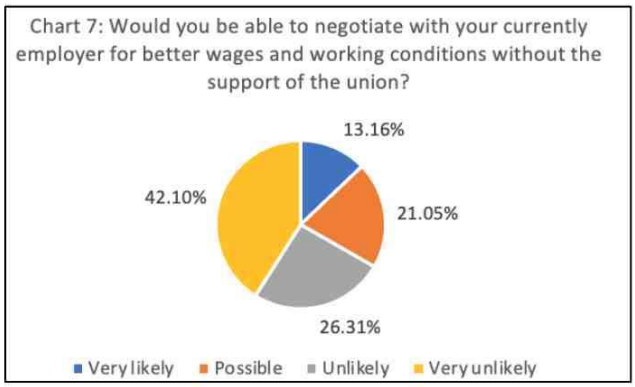


Chart 7: *In the absence of the labour union, the market would resemble a perfect competition, diminishing the workers' bargaining power. Hence, the workers would lose the ability to repeatedly push for better wages and working conditions*

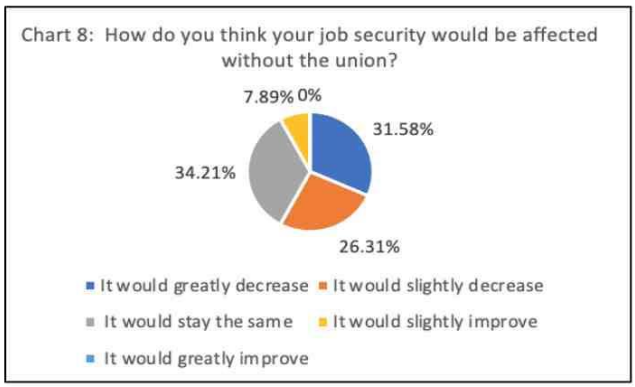


Chart 8:*. Without the union, employers may refuse to sign official contracts with workers, which would cause the informalisation and casualisation of the labour market, lowering Mathadi workers' job security.*

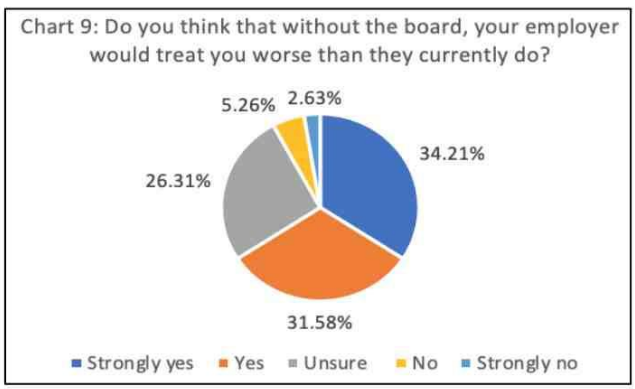


Chart 9: *Currently, the powerful board and union work in tandem to create and impose labour welfare standards. Hence, without them, the market would become unorganised, reducing the incentive of employers to treat workers fairly.*

While the increased power of the board led to higher wages and improved wellbeing for the Mathadi workers, these benefits were outweighed by the negative consequences for other stakeholders, leading to an overall deadweight loss. For instance:

- Employers: Some Mathadi workers began demanding "Warai" payments from business, which effectively functioned as bribes for the right to operate within the Mathadi areas. The union workers are also known to pressurize employers to pay them wages above the official minimum wage *(Times of India, 2018)*. These actions have led to companies exiting Mathadi areas *(Mehta, 2021)*.
- Workers: the creation of a monopoly results in a trade-off, as it leads to fewer workers being hired at higher wage rates. Hence, the workers that would have been employed in the absence of the labour board and union are worse-off.

Conclusion

In conclusion, the Mathadi worker market has undergone significant changes over time, particularly with regard to the power dynamics between employers and workers.

Initially, the market was characterised by a monopsony, in which employers held significant power and were able to mistreat workers and pay them low wages. The formation of the labour board and subsequent empowerment of the union led to a shift towards a bilateral monopoly market structure, which improved the wages and wellbeing of the Mathadi workers.

However, as the market continued to evolve, the monopsony of employers was eventually broken, in part due to competition and in part due to increased worker strikes. This culminated in the creation of a monopoly, where the labour union holds significant power. While workers who managed to secure employment under this market structure may have benefited, it has resulted in fewer job opportunities, adversely impacting those who would have been employed in the absence of the union.

In summary, the labour board and union have improved the wages and wellbeing of the Mathadi workers in the Mumbai Agricultural Produce Market Committee in two ways.

First, as evidenced by the survey data and literature reviewed, the labour board and union have provided the workers with access to merit goods, such as education and healthcare, which have drastically improved their living standards.

Second, it has empowered the workers, giving them the ability to negotiate for better wages and working conditions. While this has indeed benefited the Mathadi workers, it has negatively impacted other stakeholders, such as employers and customers.

To ascertain the impact of the union and board on the income levels of Mathadi workers, further research is needed. Econometric techniques could be used to compare the Mathadi labour market, for example, with other similar labour markets that do not have labour boards and union. The differences between these two markets would reveal the true impact of the union and board.

Limitations of the Investigation

In this investigation, there were several limitations that need to be acknowledged.

Firstly, the primary data collection method used was a survey, which was flawed in several ways. It used a small sample size, which was victim to selection bias, as it comprised of only those Mathadi workers who were available at a particular time. These characteristics of the sampling methodology reduce the generalizability of the findings. Furthermore, the Mathadi workers surveyed were not educated, which is why they may have misunderstood certain questions, especially those that involved them predicting their wellbeing in the absence of the union and board. Thus, the data obtained may be inaccurate.

Secondly, due to time constraints, it wasn't possible to survey more workers or delve more into the mechanics of the transition in the market structures through interactions with stakeholders, such as trade association members.

Thirdly, empirical wage data wasn't used as the union did not have accurate data for earlier years, which is why we inferred the wage trends through alternatives sources. However, our estimates may be inaccurate.

Finally, this investigation relied heavily on interviews, which may be subject to bias. While efforts were made to ensure the accuracy of the information provided, the possibility of bias cannot be ruled out.

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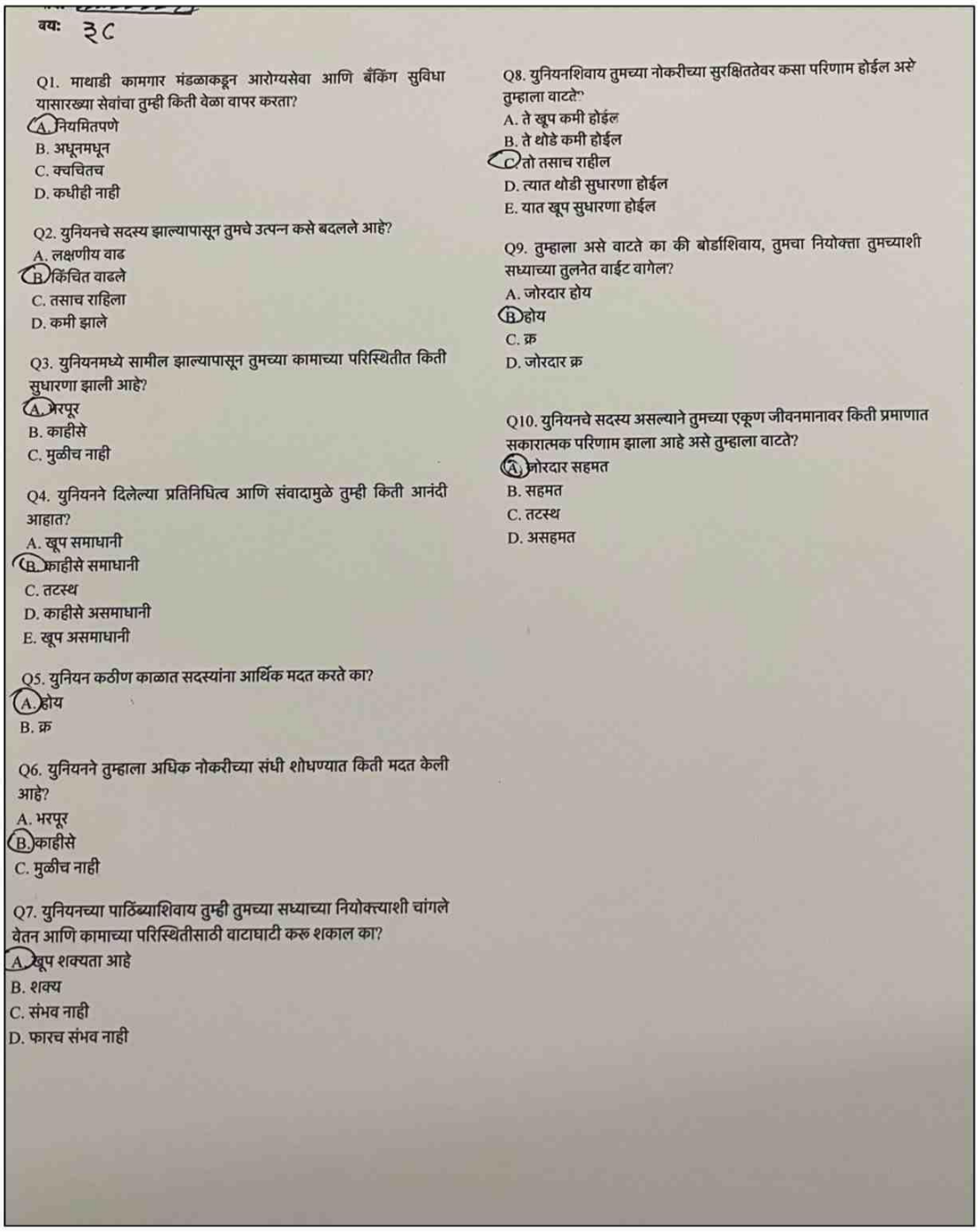
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Appendices

Appendix A: Survey Details and Raw Data

A survey was carried out on the 20th of December 2022. A multiple-choice questionnaire was first prepared in English and then translated to Marathi. It was then back translated to ensure that no errors had occurred. Then, the author, along with Mr. Shah, one of the traders interviewed, went to the Mumbai Agricultural Produce Market Committee, to distribute the survey amongst Mathadi workers. An opportunity sample of 38 male Mathadi workers was used. Then, the data was recorded and visualized using excel.

A Sample Filled Out Survey (the name has been cropped out to maintain anonymity)



वय: ३८

Q1. माथाडी कामगार मंडळाकडून आरोग्यसेवा आणि बँकिंग सुविधा यासारख्या सेवांचा तुम्ही किती वेळा वापर करता?
A. नियमितपणे
B. अधूनमधून
C. क्वचितच
D. कधीही नाही

Q2. युनियनचे सदस्य झाल्यापासून तुमचे उत्पन्न कसे बदलले आहे?
A. लक्षणीय वाढ
B. किंचित वाढले
C. तसाच राहिला
D. कमी झाले

Q3. युनियनमध्ये सामील झाल्यापासून तुमच्या कामाच्या परिस्थितीत किती सुधारणा झाली आहे?
A. भरपूर
B. काहीसे
C. मुळीच नाही

Q4. युनियनने दिलेल्या प्रतिनिधित्व आणि संवादामुळे तुम्ही किती आनंदी आहात?
A. खूप समाधानी
B. काहीसे समाधानी
C. तटस्थ
D. काहीसे असमाधानी
E. खूप असमाधानी

Q5. युनियन कठीण काळात सदस्यांना आर्थिक मदत करते का?
A. होय
B. क्र

Q6. युनियनने तुम्हाला अधिक नोकरीच्या संधी शोधण्यात किती मदत केली आहे?
A. भरपूर
B. काहीसे
C. मुळीच नाही

Q7. युनियनच्या पाठिंब्याशिवाय तुम्ही तुमच्या सध्याच्या नियोक्त्याशी चांगले वेतन आणि कामाच्या परिस्थितीसाठी वाटाघाटी करू शकाल का?
A. खूप शक्यता आहे
B. शक्य
C. संभव नाही
D. फारच संभव नाही

Q8. युनियनशिवाय तुमच्या नोकरीच्या सुरक्षिततेवर कसा परिणाम होईल असे तुम्हाला वाटते?
A. ते खूप कमी होईल
B. ते थोडे कमी होईल
C. तो तसाच राहील
D. त्यात थोडी सुधारणा होईल
E. यात खूप सुधारणा होईल

Q9. तुम्हाला असे वाटते का की बोर्डाशिवाय, तुमचा नियोक्ता तुमच्याशी सध्याच्या तुलनेत वाईट वागेल?
A. जोरदार होय
B. होय
C. क्र
D. जोरदार क्र

Q10. युनियनचे सदस्य असल्याने तुमच्या एकूण जीवनमानावर किती प्रमाणात सकारात्मक परिणाम झाला आहे असे तुम्हाला वाटते?
A. जोरदार सहमत
B. सहमत
C. तटस्थ
D. असहमत

Raw Data Tables

How often do you utilise the services provided by the Mathadi Kamgar board such as healthcare and banking facilities?	Number of Workers
Regularly	25
Occasionally	4
Rarely	8
Never	1

How has your income changed as a result of becoming a member of the union?	Number of Workers
Significantly increased	18
Slightly increased	6
Stayed the same	12
Decreased	0

Would you be able to negotiate with your currently employer for better wages and working conditions without the support of the union?	Number of Workers
Very likely	5
Possible	8
Unlikely	10
Very unlikely	16

To what extent do you believe being a member of the union has positively affected your overall quality of life?	Number of Workers
Strongly agree	25
Agree	9
Neutral	4
Disagree	0

How much have your working conditions improved since joining the union?	Number of Workers
A lot	30
Somewhat	7
Not at all	1

How happy are you with the representation and communication provided by the union?	Number of Workers
Very satisfied	22
Somewhat satisfied	4
Neutral	3
Somewhat unsatisfied	10
Very unsatisfied	1

How do you think your job security would be affected without the union?	Number of Workers
It would greatly decrease	12
It would slightly decrease	10
It would stay the same	13
It would slightly improve	3
It would greatly improve	0

Has the Board or Union Provided you with financial assistance during difficult times?	Number of Workers
Yes	25
No	13

How much has the union helped you find more job opportunities?	Number of Workers
A lot	32
Somewhat	6
Not at all	0

Do you think that without the board, your employer would treat you worse than they currently do?	Number of Workers
Strongly yes	13
Yes	12
Unsure	10
No	2
Strongly no	1

Appendix B : Interview with Mr. Shashikant Shine, the trade union leader

On the 16th of November 2022, I interviewed Mr. Shashikant Shinde, who is the general secretary of the Maharashtra Rajya Mathadi Transport & General Kamgar Union. We conversed over a zoom meeting for approximately 1 hour. The meeting was recorded and re-watched numerous times to ensure that all of the information has been inculcated. Since we had an in-depth discussion in Hindi, inserting the transcript of the entire conversation is not feasible. Therefore, the key questions, along with summaries of his responses to them, can be found below:

Q1. What was the union's founding purpose?

The union was founded to protect the rights and well-being of Mathadi Kamgar workers, who were facing abuse and mistreatment from a few strong employers, who collaborated to fix wages. They were very strong and mistreated the Mathadis. They were routinely humiliated and did not receive a living pay. The union aimed to give workers a collective voice and power to negotiate fair working conditions and wages.

Q2. How does the union help the workers in ways they themselves cannot?

The union helps workers by providing them with resources and support that they may not have access to on their own. For example, the union provides the workers with health benefits, banking services, and training program, all of which enrich the lives of the workers. The union also provides a platform for workers to negotiate fair wages and working conditions, which they may not be able to do on their own. Without the union, the workers would be left to negotiate themselves, which would result in lower wages and fringe benefits.

Q3. How has the role of the union in the labour market changed overtime?

At first, the union was rather aggressive, as it had to resolve severe issues, such as the exploitation of workers. However, over the years, it has created a labour market that benefits both employees and employers. Today, it improves connectivity in the market by streamlining the process of finding jobs for workers and employees for employers. It also ensures that employers do not underpay or exploit the vulnerable daily-wage workers.

Q4. Why is the union needed today, given that there is significant competition between employers to hire Mathadi workers?

The union is needed today because competition between employers to hire Mathadi workers does not necessarily lead to fair working conditions and wages for workers. The union helps to ensure that workers are treated fairly and that they receive fair wages and benefits, regardless of the level of competition in the labour market.

Q5. Can you provide examples of specific actions the union has taken to improve working conditions for Mathadi Kamgar workers?

The union has taken specific actions to improve working conditions for Mathadi Kamgar workers. For instance, it has provided services such as healthcare and financial assistance. Additionally, it regularly engages with employers to enhance the lives of Mathadi workers, such as by advocating for improved safety measures and higher wages. The union has basically decasualized the labour market. It has also provided the workers with perks, such as credit societies, consumer stories, and so on that help them lead a good life.

Q6. Would you say that the union adversely impacts agricultural traders?

Not at all. The union helps to ensure that workers are treated fairly, which can lead to increased productivity and a more stable workforce for employers. This can ultimately benefit agricultural traders by providing them with a skilled and motivated workforce. The union also works with employers to streamline the process of finding new workers and provides worker training which improves productivity.

Appendix C : Interviews with the Agricultural Traders

On the 20th of November 2022, I visited the Mumbai Agricultural Produce Committee (APMC) in Thane to interview Mr. Deepak Shah, Mr. Ashok Mehta, and Mr. Om Prakash Agarwal, agricultural traders who recruit Mathadi workers. Ideally, I wanted to have a focus group discussion with the three of them. However, that was not possible, as they were not available at the same time. As an alternative, I carried out three separate interviews, but used the same questions. Each discussion lasted around 45 minutes. The key questions, along with summaries of each of their responses to them, have been inserted below:

As a result of the presence of the union, do you have to pay higher wages than you would have without the union?	
Trader/Wholesaler	Response
Mr. Shah	The union's monopoly in the market has left us with no choice but to increase the wages for our Mathadi Kamgar workers, even if it affects our profitability
Mr. Agarwal	The union's power in the market has forced us to increase wages for our Mathadi Kamgar workers, it's more of a compulsion rather than a choice for us
Mr. Mehta	The union's control over the market has put pressure on us to raise the wages for our Mathadi Kamgar workers, which has reduced our competitiveness in the market. We don't have the option to hire non-unionised workers, which limits our flexibility to manage our costs.

How has the presence of a labour union affected the negotiation process for wages and working conditions with Mathadi Kamgar workers?	
Trader/Wholesaler	Response

Mr. Shah	The presence of the union has made the negotiation process for wages and benefits with Mathadi Kamgar workers more challenging. The union holds a lot of power, as it controls all the workers, and it can be difficult to negotiate against their demands
Mr. Agarwal	The union's influence in the market has made the negotiation process for wages and benefits with Mathadi Kamgar workers more complicated. We are not able to negotiate directly with the workers and have to comply with the union's demands
Mr. Mehta	The union's control in the market has made the negotiation process for wages and benefits with Mathadi Kamgar workers more rigid. We have to comply with the union's demands which limits our ability to negotiate for better terms for our company

Do you hire fewer workers than you would have without the presence of the labour union?	
Trader/Wholesaler	Response
Mr. Shah	Yes, the union's monopoly in the market has forced us to limit the number of workers we hire, as their high wages has reduced our ability to afford more workers.
Mr. Agarwal	The union's power in the market has resulted in us hiring fewer workers than we would have if the union wasn't present.
Mr. Mehta	The union's control over the market has restricted our ability to hire as many workers as we would like. In fact, we have tried to reduce the labour intensity of our process because of how demanding the union is.

To what extent is the market to hire Mathadi workers competitive? Are there several different companies fighting for the same workers?	
Trader/Wholesaler	Response
Mr. Shah	To a large extent, as many traders are competing for a limited pool of workers.
Mr. Agarwal	Unlike the old days, the competition to hire Mathadi workers is high in the market, so employers have little power.
Mr. Mehta	The market for hiring Mathadi workers is very competitive, with a high number of traders vying for the same workers, making the union's presence redundant

What changes in working conditions, if any, have you made as a result of the presence of the labour union?	
Trader/Wholesaler	Response
Mr. Shah	As a result of the presence of the labour union, we have made changes to working conditions such as providing more frequent breaks and improved safety measures for our Mathadi Kamgar workers
Mr. Agarwal	The labour union has led us to make changes in working conditions, such as providing additional rest breaks
Mr. Mehta	We have not made any big changes to the working conditions

How has the presence of a labour union affected the productivity of Mathadi Kamgar workers in your business?	
Trader/Wholesaler	Response
Mr. Shah	The union's training programs have positively impacted the productivity of our Mathadi Kamgar workers.
Mr. Agarwal	The union's presence has not drastically changed the productivity of our Mathadi Kamgar workers
Mr. Mehta	The training initiatives have resulted in a rise in the skill level and productivity of our Mathadis

Overall, how would you describe the impact of the presence of a labour union on the labour market for Mathadi Kamgar workers in the Mumbai Agricultural Produce Market Committee (APMC) Yard?	
Trader/Wholesaler	Response
Mr. Shah	Initially, the union served a purpose in protecting workers from exploitation by a few powerful employers, but now with more competition in the market, the union's presence is not needed and it has a negative impact on the number of workers that we employ.
Mr. Agarwal	The union played an important role in protecting workers' rights, but, today, the union's monopoly power and political connections have become a hindrance to our business.

Mr. Mehta	While the union provides some beneficial services, such as training, it is detrimental as it limits the flexibility of the labour market and reduces the job opportunities for Mathadi workers.